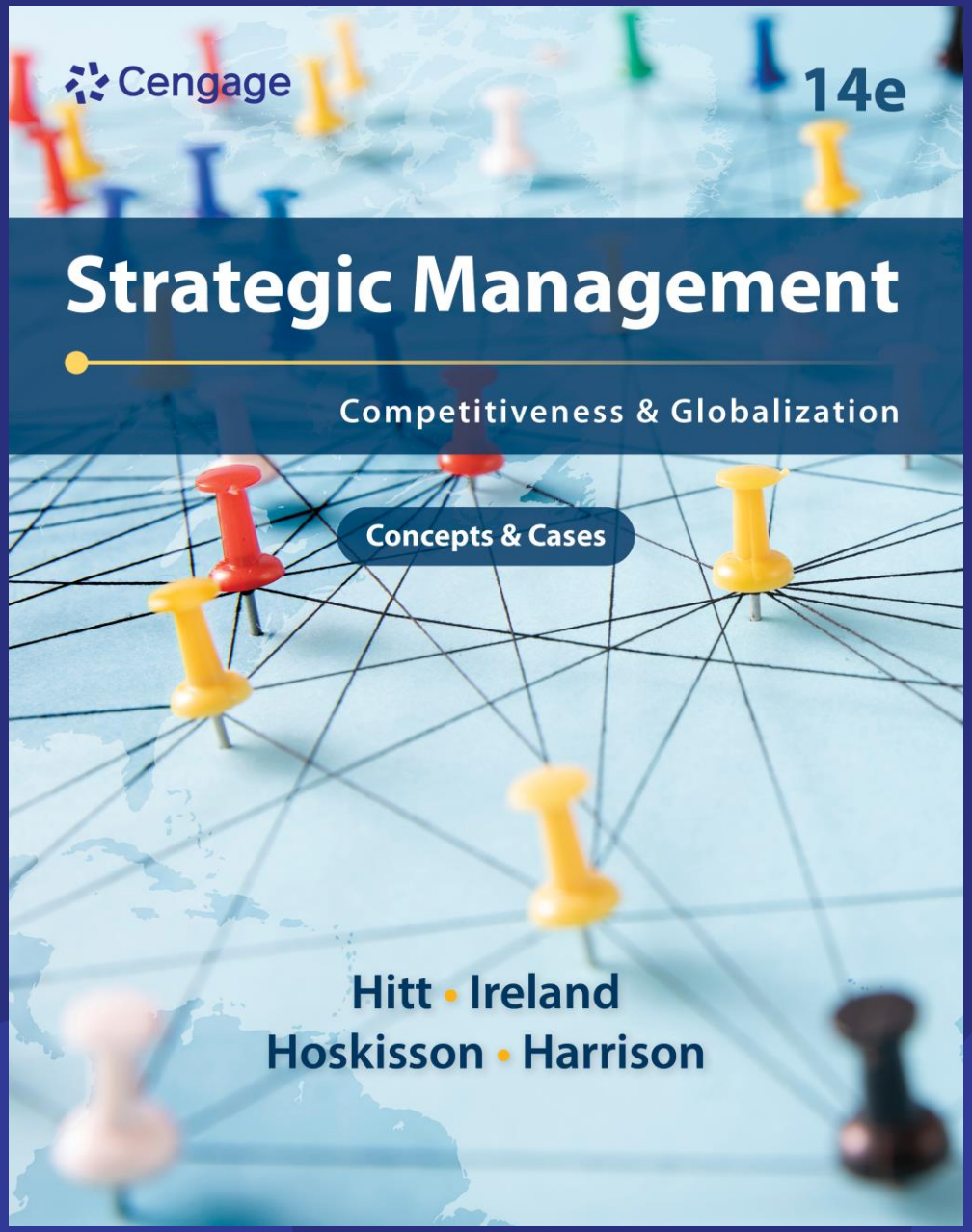


Chapter 2

The External Environment: Opportunities, Threats, Industry Competition, and Competitor Analysis

Learning Objectives

By the end of this chapter, you should be able to:

2.1 Explain the importance of analyzing and understanding the firm's external environment.

2.2 Define and describe the general environment and the industry environment.

2.3 Discuss the four parts of the external environmental analysis process.

2.4 Name and describe the general environment's seven segments.

2.5 Identify the five competitive forces and explain how they determine an industry's profitability potential.

2.6 Define strategic groups and describe their influence on firms.

2.7 Describe what firms need to know about their competitors and different methods used to collect intelligence about them.

2-1

Understanding the Firm’s External Environment

Understanding the Firm's External Environment

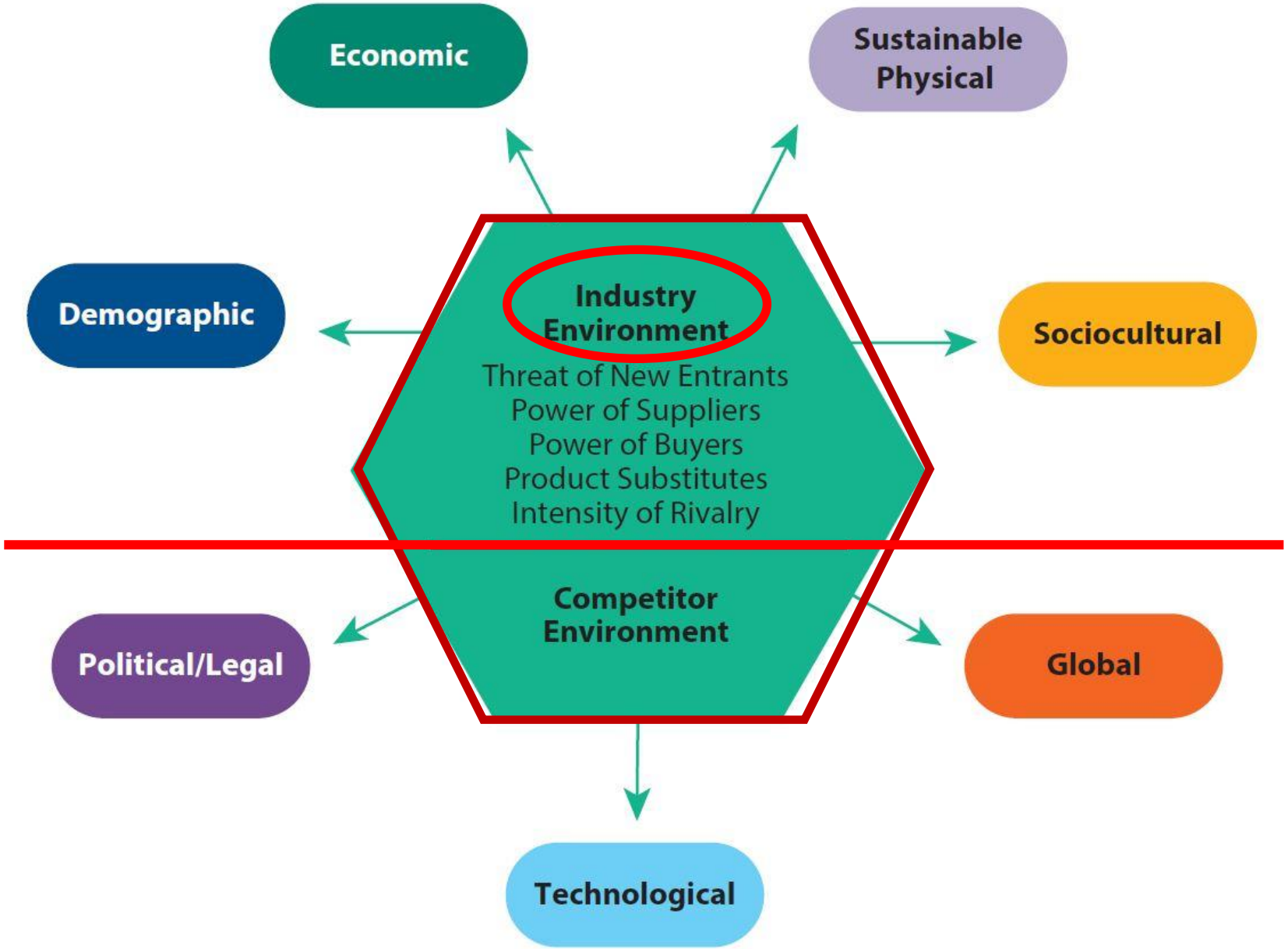
- Firms understand the external environment by acquiring **information about competitors, customers, and other stakeholders** to build their own base of knowledge

- On the basis of the new information, firms take actions, such as building new capabilities and core competencies, in the hope of buffering themselves from any negative environmental effects and to pursue opportunities to better serve their stakeholders' needs

Understanding the Firm's External Environment

- The external environment affects the competitive actions and responses firms take to outperform competitors and earn above-average returns.
- Today's external environment:
  - Technological changes and the continuing growth of information gathering and processing capabilities
  - Rapid sociological changes occurring in many countries affect labor practices and the products consumers' demand
  - Governmental policies and laws as well as financial regulatory systems affect where and how firms choose to compete and increase the complexity of financial transactions

Figure 2.1 The External Environment



2-2

The General and Industry Environments

The General and Industry Environments (1 of 3)

- The **general environment** is composed of dimensions in the broader society that influence an industry and the firms within it.
- Firms can**not** directly **control** the general environment's segments.

- The dimensions are grouped into seven environmental segments:
  1. Demographic
  2. Economic
  3. Political/Legal
  4. Sociocultural
  5. Technological
  6. Global
  7. Sustainable physical environment

The General and Industry Environments (1 of 3)

- The dimensions are grouped into seven environmental segments:
  1. Demographic: Aging Population
  2. Economic: Economic Recession
  3. Political/Legal: Regulatory Changes
  4. Sociocultural: changing Consumer Preferences
  5. Technological: Advancements in Artificial Intelligence
  6. Global: Global Trade Relations
  7. Sustainable physical environment: Climate Change

Table 2.1 The General Environment: Segments and Elements (1 of 3)

Demographic segment	• Population size • Age structure • Geographic distribution	• Ethnic mix • Income distribution
Economic segment	• Inflation rates • Interest rates • Trade deficits or surpluses • Budget deficits or surpluses	• Personal savings rate • Business savings rates • Gross domestic product
Political/Legal segment	• Antitrust laws • Taxation laws • Deregulation philosophies	• Labor training laws • Educational philosophies and policies

Table 2.1 The General Environment: Segments and Elements (2 of 3)

Sociocultural segment	• Women in the workforce • Workforce diversity • Attitudes about the quality of work life	• Shifts in work and career preferences • Shifts in preferences regarding product and service characteristics
Technological segment	• Product innovations • Applications of knowledge	• Focus of private and government-supported research and development (R&D) expenditures • New communication technologies

Table 2.1 The General Environment: Segments and Elements (3 of 3)

Global segment	• Important political events • Critical global markets	• Newly industrialized countries • Different cultural and institutional attributes
Sustainable physical environment segment	• Energy consumption • Practices used to develop energy sources • Renewable energy efforts • Minimizing a firm's environmental footprint	• Availability of water as a resource • Producing environmentally friendly products • Reacting to natural or man-made disasters

The General and Industry Environments (2 of 3)

- The **industry environment** is a set of factors that directly influences a firm and its competitive actions and responses:
  - The threat of new entrants
  - The power of suppliers
  - The power of buyers
  - The threat of product substitutes
  - The intensity of rivalry among competing firms
- How companies gather and interpret information about their competitors is called **competitor analysis**.
  - Understanding the firm's competitor environment complements the insights provided by studying the general and industry environments.

The General and Industry Environments (3 of 3)

- An analysis of the general environment focuses on environmental trends and their implications.
- An analysis of the industry environment focuses on the factors and conditions influencing an industry's profitability potential.
- An analysis of competitors is focused on predicting competitors' actions, responses, and intentions.
- In combination, the results of these three analyses influence the firm's:
  - Vision
  - Mission
  - Values
  - Choice of strategies
  - Competitive actions and responses it will take to implement those strategies

Knowledge Check 2-1

A firm's competitive actions and responses are influenced by the conditions in which three parts of its external environment?

a. Economic, industry, and competitor

b. Demographic, industry, and competitor

c. General, industry, and competitor

d. General, economic, and industry

Knowledge Check 2-2

The _____ is the set of factors that directly influences a firm and its competitive actions and responses: the threat of new entrants, the power of suppliers, the power of buyers, the threat of product substitutes, and the intensity of rivalry among competing firms.

a. economic environment

b. competitor analysis

c. general environment

d. industry environment

2-3

External Environmental Analysis

2-4

Seven Segments of the General Environment

Seven Segments of the General Environment

- The general environment is composed of the following external segments:
  - Demographic
  - Economic
  - Political/legal
  - Sociocultural
  - Technological
  - Global
  - Sustainable physical environment
- These environmental segments affect all industries and the firms competing in them.
- Each firm must scan, monitor, forecast, and assess the elements in each segment to predict their effects on it.
- This is vital to the firm's efforts to recognize and evaluate opportunities and threats.

The Demographic Segment (1 of 3)

- The **demographic segment** is concerned with a population's size, age structure, geographic distribution, ethnic mix, and income distribution.
- Population Size
  - It is projected that population growth will continue in the twenty-first century but at a slower pace.
  - Firms seeking to find growing markets in which to sell their goods and services need to consider the market potential that may exist for them in these five nations:
    - India
    - China
    - United States
    - Indonesia
    - Pakistan

The Demographic Segment (2 of 3)

- Age Structure
  - The world's population is rapidly aging.
  - The aging of the population:
    - Have significant implications for availability of qualified labor, health care, retirement policies, and business opportunities, among others.
    - Threatens the ability of firms to hire and retain a workforce that meets their needs.
- Geographic Distribution
  - How a population is distributed within countries and regions is subject to change over time.

The Demographic Segment (3 of 3)

- Ethnic Mix
  - The ethnic mix of countries' populations continues to change.
  - The ethnic diversity of the population is important because of:
    - Consumer needs
    - The labor force composition
- Income Distribution
  - Income distribution within and across populations informs firms of different groups' purchasing power and discretionary income.
  - Of interest are the average incomes of households and individuals.

The Economic Segment

- The **economic environment** refers to the nature and direction of the economy in which a firm competes or may compete.
- In general, firms seek to compete in relatively stable economies with strong growth potential.
- It is challenging for firms studying the economic environment to predict economic trends that may occur and their effects on them.
- Studying closely and forecasting economic growth and other trends in the economies in which firms operate can help them to determine where the greatest growth opportunities exist.

The Political/Legal Segment

- The **political/legal segment** is the arena in which organizations and interest groups compete for attention, resources, and a voice in overseeing the body of laws and regulations guiding interactions among nations as well as between firms and various governmental agencies.
- Essentially, this segment is concerned with:
  - How organizations try to influence governments
  - How they try to understand the influences (current and projected) of those governments on their competitive actions and responses
- Laws and regulations provide structure to guide strategic and competitive actions.

The Sociocultural Segment

- The **sociocultural segment** is concerned with a society's attitudes and cultural values.
- Attitudes and values:
  - Form the cornerstone of a society
  - Often drive demographic, economic, political/legal, and technological conditions and changes
- Individual societies' attitudes and cultural orientations are relatively stable but can, and often do, change over time.
  - Firms must identify changes in order to stay ahead of their competitors and stay relevant in the minds of their consumers.

The Technological Segment

- The **technological segment** includes the institutions and activities involved in creating new knowledge and translating that knowledge into new outputs, products, processes, and materials.
- Firms should continuously scan the general environment to identify:
  - Potential substitutes for technologies that are in current use
  - Newly emerging technologies from which their firm could derive competitive advantage
- New technology and innovations are changing many industries.

The Global Segment (1 of 2)

- The **global segment** includes relevant new global markets and their critical cultural and institutional characteristics, existing markets that are changing, and important international political events.
- Firms should recognize that globalization of business markets may create opportunities to enter new markets, as well as threats that competitors from other economies may enter their market.
- *Globalfocusing*:
  - Is a more cautious approach to globalization in which firms focus on global niche markets
  - Allows firms to build onto and use their competencies while limiting risks

The Global Segment (2 of 2)

- Firms competing in global markets should recognize each market's sociocultural and institutional attributes. For example:
  - Korean ideology emphasizes communitarianism.
  - Chinese ideology emphasizes *guanxi*—personal connections.
  - Japanese ideology emphasizes *wa*—group harmony and social cohesion.
- The *informal economy* is another aspect of the global segment requiring analysis.

The Sustainable Physical Environment Segment

- The **sustainable physical environment segment** refers to potential and actual changes in the physical environment and business practices that are intended to positively respond to those changes in order to create a sustainable environment.
- Concerned with trends oriented to sustaining the world's physical environment, firms recognize that ecological, social, and economic systems interactively influence what happens in this particular segment and that they are part of an interconnected global society.
- An increasing number of companies are investing in sustainable development, though some participate in *greenwashing*.

Knowledge Check 2-4

The _____ is concerned with a population's size, age structure, geographic distribution, ethnic mix, and income distribution.

a. demographic segment

b. economic environment

c. political/legal segment

d. sociocultural segment

2-5

Industry Environment Analysis:

The Five Competitive Forces

Industry Environment Analysis:
The Five Competitive Forces

- An **industry** is a group of firms producing products that are close substitutes.
- Companies use a mix of different competitive strategies to pursue above-average returns when competing in a particular industry.
- Compared with the general environment, the industry environment has a more direct effect on firms' competitive actions and responses.
- To study an industry, the firm examines five forces that affect the ability of all firms to operate profitably within a given industry:
  - The threats posed by new entrants
  - The power of suppliers
  - The power of buyers
  - Product substitutes
  - The intensity of rivalry among competitors



Prof. Michael Porter , Harvard Business School
Photo from American Academy

Figure 2.2
The Five Forces of Competition Model

- It shows a circle with almost five equal sectors.
- When studying the industry environment, firms must also recognize that suppliers can become a firm's competitors (by integrating forward) as can buyers (by integrating backward).



Threat of New Entrants (1 of 7)

- Identifying new entrants is important because they can threaten the market share of existing competitors.
  - The likelihood that firms will enter an industry is a function of two factors:
    - Barriers to entry
    - The retaliation expected from current industry participants (e.g., price war)

Threat of New Entrants (2 of 7)

- Barriers to Entry
  - Firms competing in an industry study entry barriers to determine the degree to which their competitive position reduces the likelihood of new competitors being able to enter the industry to compete against them.
  - Firms considering entering an industry study entry barriers to determine the likelihood of being able to identify an attractive competitive position within the industry.
  - There are several significant **entry barriers**:
    - Economies of scale
    - Product differentiation
    - Capital requirements
    - Switching costs (Android vs IOS)
    - Access to distribution channels
    - Cost disadvantages independent of scale
    - Government policy
    - Expected retaliation

Threat of New Entrants (3 of 7)

- Economies of Scale
  - The cost of producing each unit declines as the quantity of a product produced during a given period increases.
  - A new entrant is unlikely to quickly generate the level of demand for its product that would allow it to develop economies of scale.
- Product Differentiation
  - Over time, customers may come to believe that a firm's product is unique and consistently purchase that firm's product.
  - To combat the perception of uniqueness, new entrants frequently offer products at lower prices.

Threat of New Entrants (4 of 7)

- **Capital Requirements**
  - Competing in a new industry requires a firm to have capital for physical facilities, inventories, marketing activities, and other critical business functions.
  - Even when a new industry is attractive, the capital required for successful market entry may not be available to pursue the market opportunity.



- Switching Costs
  - *Switching costs* are the one-time costs customers incur when they buy from a different supplier.
  - If switching costs are high, a new entrant must attract buyers by offering either:
    - A substantially lower price, or
    - A much better product



Threat of New Entrants (5 of 7)

- **Access to Distribution Channels**
  - Over time, industry participants commonly learn how to effectively distribute their products.
  - New entrants must persuade distributors to carry their products, either in addition to or in place of those currently distributed.
  - Price breaks and cooperative advertising allowances may be used for this purpose.
    - However, those practices reduce the new entrants' profit potential.

Threat of New Entrants (6 of 7)

- Cost Disadvantages Independent of Scale
  - Successful competition requires new entrants to reduce the strategic relevance of cost advantages held by established competitors that cannot be duplicated.
- Government Policy
  - Governmental decisions and policies that can control entry into an industry include:
    - The granting of licenses and permits
    - Regulation or deregulation
    - Antitrust issues

Threat of New Entrants (7 of 7)

- Expected Retaliation
  - An expectation of swift and vigorous competitive responses reduces the likelihood of entry.
  - Vigorous retaliation can be expected when the existing firm has a major stake in the industry, when it has substantial resources, and when industry growth is slow or constrained.
  - Locating market niches not being served by incumbents allows the new entrant to avoid entry barriers.
  - Small entrepreneurial firms are generally best suited for identifying and serving neglected market segments.

Examples

- **1. Airline Industry - Pricing Strategies**
- **Example: Delta Air Lines vs. Southwest Airlines**
  - Delta often adjusts its pricing strategies based on expected retaliation from Southwest Airlines, known for its low-cost model. If Delta raises fares on certain routes, it anticipates that Southwest may respond by offering discounts or promotional fares to attract price-sensitive travelers, prompting Delta to carefully consider its pricing moves.

Examples

2. Fast Food Industry - Menu Changes

- **Example: McDonald's and Burger King**
  - When McDonald's introduced new offerings like the McPlant burger, Burger King often responds with similar product launches or promotions to attract the same health-conscious customers. The launch of Burger King's Impossible Whopper was a direct response to changing consumer preferences, with the understanding that McDonald's would soon follow suit.

Bargaining Power of Suppliers

- Suppliers can exert power over firms competing within an industry by increasing prices and reducing the quality of their products.
- A supplier group is powerful when:
  - It is dominated by a few large companies and is more concentrated than the industry to which it sells.
  - Satisfactory substitute products are not available to industry firms.
  - Industry firms are not a significant customer for the supplier group.
  - Suppliers' goods are critical to buyers' marketplace success.
  - The effectiveness of suppliers' products has created high switching costs for industry firms.
  - It poses a credible threat to integrate forward into the buyers' industry.

Bargaining Power of Buyers

- To reduce their costs, buyers bargain for:
  - Higher quality
  - Greater levels of service
  - Lower prices
- Customers (buyer groups) are powerful when:
  - They purchase a large portion of an industry's total output.
  - The sales of the product being purchased account for a significant portion of the seller's annual revenues.
  - They could switch to another product at little, if any, cost.
  - The industry's products are undifferentiated or standardized, and the buyers pose a credible threat if they were to integrate backward into the sellers' industry.

Examples

1. Organic Food Suppliers

- Organic food suppliers often have significant bargaining power due to the growing demand for organic products among consumers. Companies seeking to offer organic options must rely on these suppliers, who may charge premium prices, especially if they are rare or have unique certifications. This dynamic can impact the pricing strategies of grocery stores and restaurants.



Examples

2. Oil and Gas Suppliers

- Companies in the energy sector, such as oil and gas suppliers, can exert considerable bargaining power, especially in times of geopolitical tension or supply disruptions. For instance, during oil embargoes or natural disasters, companies reliant on these suppliers may face increased costs and limited availability, impacting their operations significantly.



Threat of Substitute Products (1 of 2)

- Substitute products are goods or services from outside a given industry that perform similar or the same functions as a product that the industry produces.
- In general, product substitutes present a strong threat to a firm when:
  - Customers face few, if any, switching costs
  - The substitute product's price is lower
  - The substitute product's quality and performance capabilities are equal to or greater than those of the competing product

Threat of Substitute Products (2 of 2)

- To reduce a substitute's attractiveness, a firm can differentiate a product along dimensions that are valuable to customers, such as:
  - Quality
  - Service after the sale
  - Location

Examples

1. **Soft Drinks vs. Health Drinks**
   - Coca-Cola and PepsiCo face the threat of substitutes from healthier beverage options such as bottled water, flavored water, energy drinks, and wellness shots. As consumer preferences shift toward healthier lifestyles, these alternatives may lure customers away from traditional soft drinks, prompting companies to diversify their product lines and reduce sugar content.







Examples

- **2. Cable TV vs. Streaming Services**
  - The rise of streaming platforms such as Netflix, Hulu, and Disney+ has significantly threatened traditional cable television. As viewers opt for on-demand content and flexible viewing options offered by streaming services, cable providers are forced to adapt by offering their own streaming options or bundle packages to retain subscribers.
















Intensity of Rivalry among Competitors (1 of 4)

- Competitive rivalry (within an industry) intensifies when:
  - A firm is challenged by a competitor's actions
  - A company recognizes an opportunity to improve its market position
- Firms differentiate their products from competitors' offerings in ways that customers value and in which they have a competitive advantage.
- Common dimensions on which rivalry is based include:
  - Price
  - Service after the sale
  - Innovation

Intensity of Rivalry among Competitors (2 of 4)

- Factors that increase the intensity of rivalries among firms include:
  - **Numerous or Equally Balanced Competitors**
    - Evidence suggests that firms generally are aware of competitors' actions, often choose to respond to them.
    - Industries with only a few firms of equivalent size and power tend to have strong rivalries.
  - **Slow Industry Growth**
    - Rivalry in no-growth or slow-growth markets becomes more intense as firms battle to increase their market shares by attracting competitors' customers.

Intensity of Rivalry among Competitors (3 of 4)

- **High Fixed Costs** or **High Storage Costs**
  - When fixed costs account for a large part of total costs, companies try to maximize the use of their productive capacity.
  - When many firms attempt to maximize their productive capacity, excess capacity is created on an industry-wide basis.
- **Lack of Differentiation** or **Low Switching Costs**
  - Industries with many companies that have successfully differentiated their products have less rivalry.
  - When buyers view products as commodities, rivalry intensifies. In these instances, buyers' purchasing decisions are based primarily on price and, to a lesser degree, service.

Intensity of Rivalry among Competitors (4 of 4)

- **High Strategic Stakes**
  - Competitive rivalry is likely to be high when it is important for several of the competitors to perform well in the market.
- **High Exit Barriers**
  - Sometimes companies continue competing in an industry even though the returns on their invested capital are low or even negative—likely because of high exit barriers
- Common exit barriers include:
  - Specialized assets
  - Fixed costs of exit
  - Strategic interrelationships
  - Emotional barriers
  - Government and social restrictions

Interpreting Industry Analyses

- Effective industry analyses are products of careful study and interpretation of data and information from multiple sources.
- International markets and rivalries must be included in the firm's analyses.
- **Analysis of the five forces** within a given industry allows the firm to determine the **industry's attractiveness.**
  - An unattractive industry has low entry barriers, suppliers and buyers with strong bargaining positions, strong competitive threats from product substitutes, and intense rivalry among competitors.
  - An attractive industry has high entry barriers, suppliers and buyers with little bargaining power, few competitive threats from product substitutes, and relatively moderate rivalry.

Knowledge Check 2-5

Which of the following are the one-time costs customers incur when they buy from a different supplier?

a. Loyalty programs

b. Capital requirements

c. Switching costs

d. Fixed costs

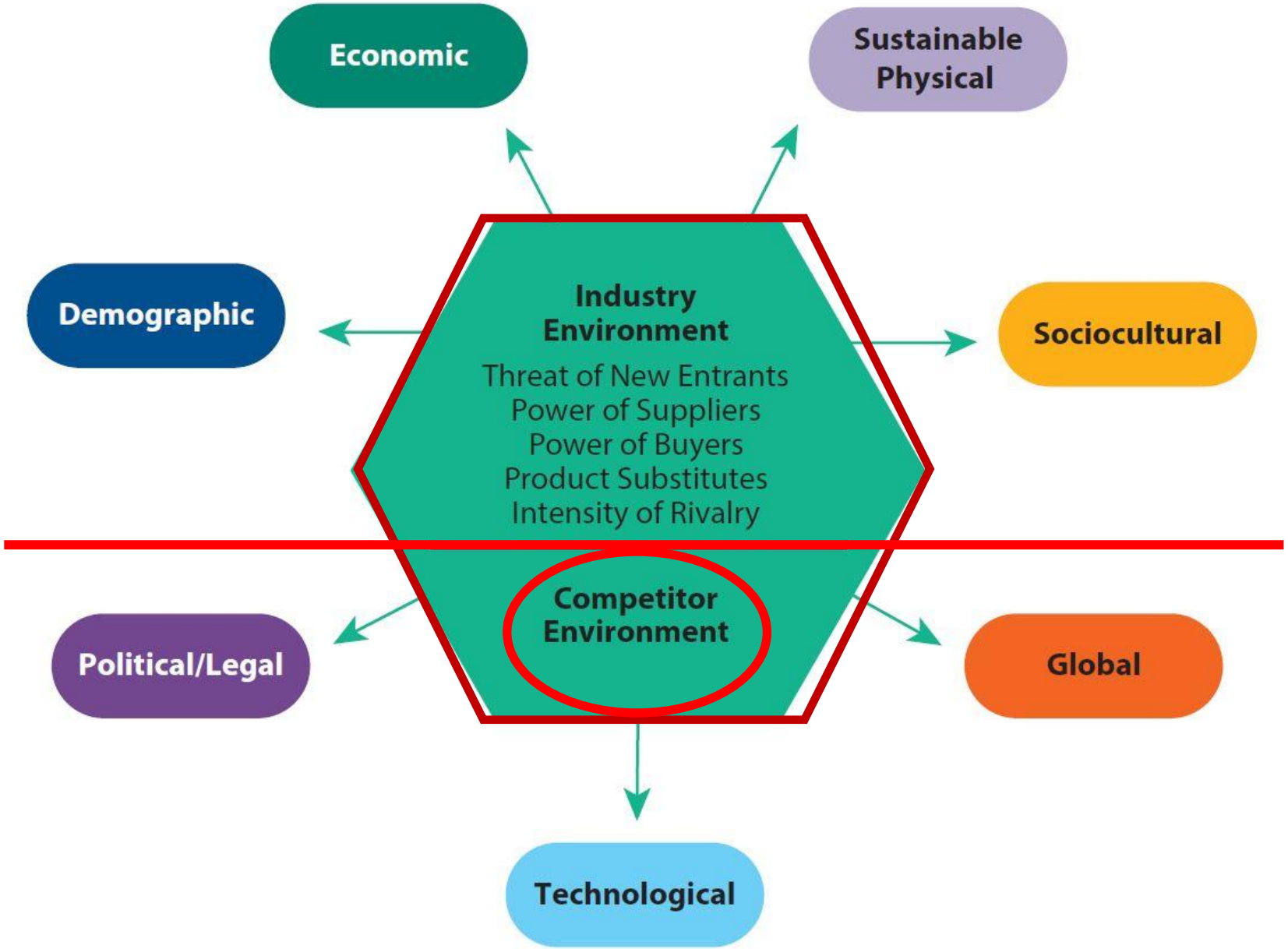
2-6

Strategic Groups and Their Influence

2-7

Competitor Analysis

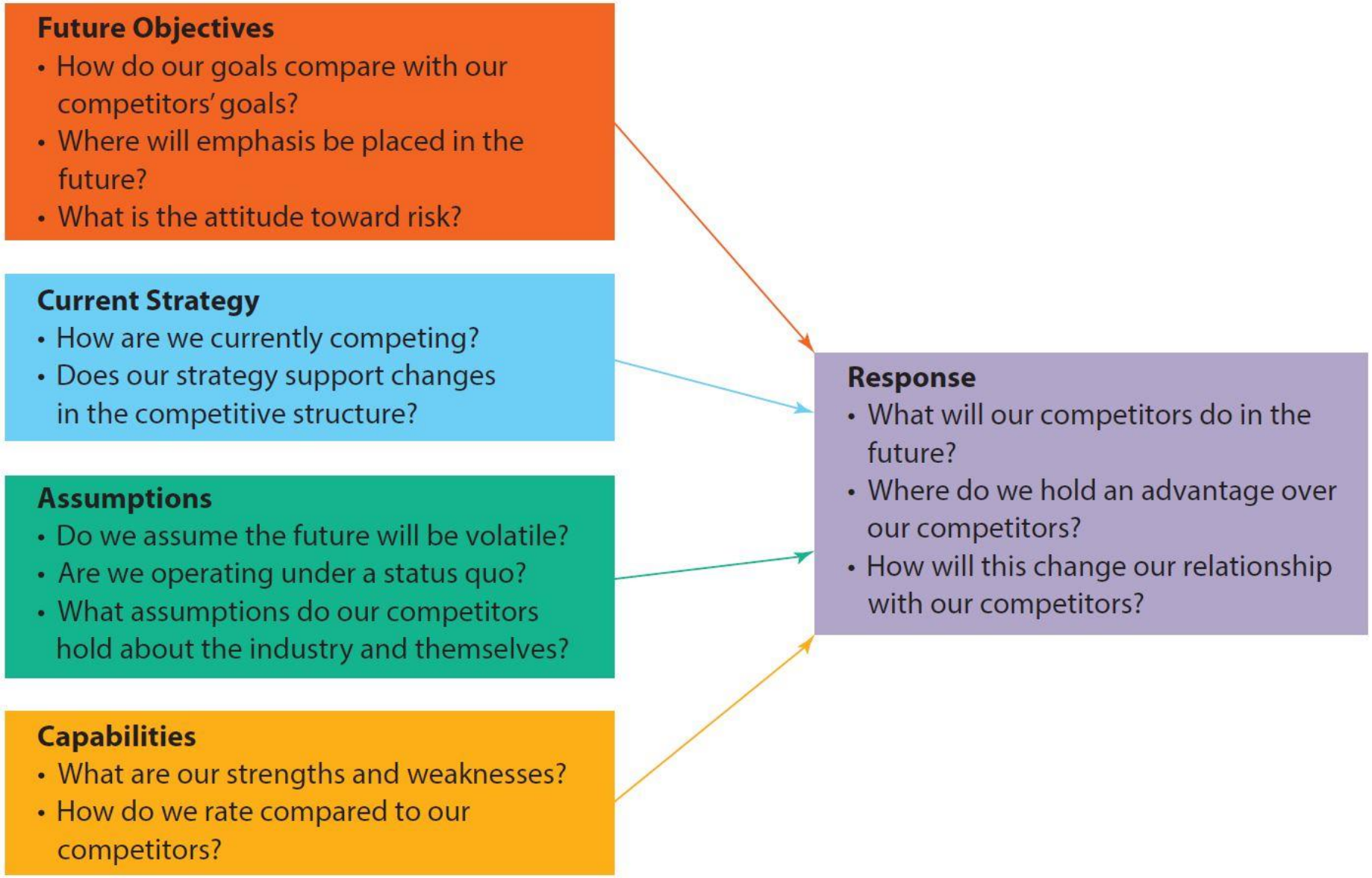
Figure 2.1 The External Environment



Competitor Analysis (1 of 2)

- **Competitor analysis** focuses on each company against which a firm competes directly.
- In a competitor analysis, the firm seeks to understand the following:
  - What drives the competitor, as shown by its *future objectives*.
  - What the competitor is doing, as revealed by its *current strategy*.
  - What the competitor believes about the industry, as shown by its *assumptions*.
  - What the competitor's capabilities are, as shown by its *strengths* and *weaknesses*.
- Knowledge about these four dimensions helps the firm prepare an anticipated response profile for each competitor.

Figure 2.3 Competitor Analysis Components



Competitor Analysis (2 of 2)

- **Competitor intelligence** is the set of data and information the firm gathers to better understand and anticipate competitors' objectives, strategies, assumptions, and capabilities.
- When gathering competitive intelligence, a firm must pay attention to the complementors of its products and strategy.
  - **Complementors** are companies or networks of companies that sell complementary goods or services that are compatible with the focal firm's goods or services. (bagel and cream cheese)
  - Complementors can be an important part of a **business ecosystem**—a complex network of interconnected organizations whose competitive and cooperative efforts are associated with the satisfaction of a particular value proposition.

Knowledge Check 2-7

_____ is the set of data and information the firm gathers to better understand and anticipate competitors' objectives, strategies, assumptions, and capabilities.

a. Rules of engagement

b. Competitor intelligence

c. Business ecosystem

d. Complementor analysis

Summary

- The external environment has three major parts:

1. **The general environment** (segments and elements in the broader society that affect industries and the firms competing in them),
2. **The industry environment** (factors that influence a firm, its competitive actions and responses, and the industry's profitability potential), and
3. **The competitor environment** (in which the firm analyzes each major competitor's future objectives, current strategies, assumptions, and capabilities).

Summary

- The general environment has seven segments:

demographic, economic, political/legal, sociocultural, technological, global, and sustainable physical. For each segment, firms have to determine the strategic relevance of environmental changes and trends.

- The industry environment has a more direct effect on firms' competitive actions and responses.

Summary

- The five forces model of competition includes:

  1) the threat of entry, 2) the power of suppliers, 3) the power of buyers,

  4) product substitutes, and 5) the intensity of rivalry among competitors.

- By studying these forces, a firm can **identify a position in an industry where it can influence the forces** in its favor or where it can buffer itself from the power of the forces in order to achieve strategic competitiveness and earn above-average returns.

Summary

- Competitor analysis informs the firm about the future objectives, current strategies, assumptions, and capabilities of the companies with which it **competes directly**.
- A thorough competitor analysis examines complementors that support forming and implementing rivals' strategies.